LIGHTER

Institutional Research Report

Perpetual Futures DEX & Application-Specific zk Rollup on Ethereum

Report Date: November 30, 2025

HEADER

- **Stance:** Research-only; high-potential perp DEX / appchain, but early-stage governance and token-design risk. [Inference]
- **Final Score:** 76 / 100 (5 pillars, equal weight). [Inference]
- **Sizing (hypothetical, not advice):** Small exploratory exposure only until token, governance, and oracle risks are better resolved. [Inference]
- **Asset type:** Perpetual futures DEX + application-specific zk rollup on Ethereum. [Fact – T1]
- **Chain / Stack:** Ethereum L1 settlement; custom zk-SNARK rollup ("zkLighter"), on-chain DA via blobs, centralized sequencer + forced-L1 ops. [Fact – T1]
- **Liquidity regime (today):** High-volume, incentive-heavy, mostly perp flow; zero retail fees, large points program, strong narrative flows around upcoming TGE. [Fact – T1][Inference]

EVIDENCE STRENGTH MAP

T1 Sources Used (representative, not exhaustive)

- Official site & docs (architecture, LLP, escape hatch, points program). [Fact – T1]
- Whitepaper + L2Beat technical & risk profile (rollup design, governance, security model). [Fact – T1]
- DeFiLlama + CoinGecko (TVL, perp volumes, OI, fee / revenue metrics, market listing). [Fact – T1]
- Coindesk, Blockworks, KuCoin, NFTGators on mainnet launch, volumes, and $68m round at $1.5b valuation. [Fact – T1]
- ZKSecurity circuits audit + other audit mentions (Nethermind, Spearbit) via docs / aggregators. [Fact – T1]
- Chainlink ecosystem + SmartCon recap on Data Streams integration for RWA perps. [Fact – T1]

T2 Sources Used

- Bankless / podcast interviews with founder (outage post-mortem, design philosophy). [Fact – T2]
- Datawallet, AtomicWallet, Bitget, MEXC, ODaily, The Block Beats, Phemex explainer + airdrop / points guides. [Fact – T2]
- Social posts (X) and Chainlink / investor commentary on narrative strength and comparisons to Hyperliquid / Aster. [Fact – T2]

Direct Checks (on-chain / infra)

- Etherscan / Blockscan: Lighter: ZkLighter rollup contract at 0x3b4D794a66304f130A4DB8F2551B0070dfCf5ca7, high-value bridge balance and batch / withdrawal pattern. [Fact – T1]
- L2Beat Disco permissions: 3/5 Lighter Multisig 0x92b1…2045, upgrade powers via UpgradeGatekeeper, EOAs controlling governance and insurance / treasury addresses. [Fact – T1]
- DeFiLlama protocol page: TVL ≈ $1.23b, 30d perp volume ≈ $298b, OI ≈ $1.74b, 30d fees ≈ $25.7m as of late Nov 2025. [Fact – T1][Estimate]

Evidence Tag Legend

- [Fact – T1] = verified from primary / high-grade external sources (official docs, reputable data, serious media).
- [Fact – T2] = social / community / explainer-grade, cross-checked where possible.
- [Inference] = logical inference from facts; not directly stated.
- [Estimate] = approximate numeric or qualitative estimate from ranges / snapshots.
- [Unknown] = explicitly missing / not findable data.

Key Unverified But Important Items (as of this memo)

- Exact LIGHT token supply, allocation, vesting, and distribution mechanics. [Unknown]
- Definitive mapping from Lighter Points to token entitlements, including any minimum thresholds and cliffs. [Unknown]
- Whether all zkLighter circuits and core off-chain components are now fully open-sourced and reproducible; L2Beat note (Oct 8) said they were still private. [Unknown]
- Long-term governance plan for sequencer and prover decentralization beyond current Stage 0 / centralized-operator status. [Unknown]

Template basis: institutional-grade crypto research template v3 (this document's structure).

TLDR

- Lighter is an Ethereum-settled, app-specific zk rollup and perp DEX that proves matching and liquidations on-chain while keeping user funds in Ethereum contracts. [Fact – T1]
- It has rapidly scaled to ≈$1.2b TVL and ≈$300b 30d perp notional, positioning it among the largest decentralized perp venues by volume and open interest. [Fact – T1][Estimate]
- Architecture combines a centralized sequencer with zk-SNARK proofs, forced L1 ops, desert-mode escape hatch, and LLP-backed insurance fund; security posture is strong but not yet fully decentralized. [Fact – T1][Inference]
- Business model currently leans on zero trading fees for retail plus points incentives, while funding, liquidations, and institutional / API fees generate protocol revenue; future tokenomics remain undefined. [Fact – T1][Fact – T2]
- Governance and upgrade risk is material: Stage 0 rollup, centralized operators, upgradeable contracts, security council able to shorten delays; oracles rely on external feeds whose signatures are not fully verified on-chain. [Fact – T1]
- $68m raise at $1.5b valuation from Founders Fund, Ribbit, Haun Ventures, and Robinhood validates the team but also bakes in high expectations ahead of TGE. [Fact – T1][Inference]

SCOREBOARD – 5 PILLARS (0–20 each)

Pillar	Score
1) Team & Execution Track Record	17 / 20
2) Technology Soundness & Auditability	16 / 20
3) Tokenomics & Incentive Alignment	12 / 20
4) Market Positioning & Narrative Strength	18 / 20
5) Risk Management & Governance	13 / 20
COMPOSITE (equal-weighted)	**76 / 100**

[Inference]

SCORE JUSTIFICATION MATRIX

Pillar 1 – Team & Execution (17 / 20)

What is going well (facts):

- Founder Vladimir Novakovski: entered Harvard at 16, graduated early, recruited by Citadel at 18; serial founder (Lunchclub) with HFT and AI background. [Fact – T1]
- Lighter raised ≈$90m total (unreported 2024 round + $68m 2025) with backers including Founders Fund, Haun Ventures, Ribbit, Craft, Robinhood. [Fact – T1]
- 8-month private beta with ~188k unique accounts and ~50k daily activities before public mainnet, suggesting deliberate testing. [Fact – T1]

- Team handled 4.5h October 10 outage via reimbursement/points and public post-mortem; system remained solvent and resumed operation. [Fact – T1][Fact – T2]

Where we are unconvinced / missing info:

- Limited formal public bios for broader leadership; reliance on media profiles and LinkedIn. [Inference][Unknown]
- No detailed disclosure yet of internal risk team structure (ops, infra, quant, security). [Unknown]

Execution / dependency breakpoints:

- Sustained institutional onboarding and infra scaling (db, sequencer, prover) during volatility spikes. [Inference]
- Ability to avoid further major outages as volume and number of markets expand. [Inference]

Pillar 2 – Technology, Security & Auditability (16 / 20)

What is going well (facts):

- App-specific zk rollup on Ethereum: centralized sequencer batches orders; zk-SNARK proofs verify matching, liquidations, funding, and risk checks before L1 state update. [Fact – T1]
- All data required for forced exits (account tree state diffs) is posted on-chain in blobs; escape hatch via desert mode allows users to reconstruct balances and exit. [Fact – T1]
- Users can force transactions (deposits, withdrawals, order creation/cancel, burning LLP shares) on L1; if ignored for 14 days, system can be frozen and forced exits used. [Fact – T1]
- LLP (insurance fund) and liquidation logic detailed in docs; multi-tier margin requirements and "gentler" liquidations designed to limit market impact. [Fact – T1][Fact – T2]
- Multiple audits referenced: zkSecurity circuits audit, plus Nethermind / other audits on contracts and rollup infra. [Fact – T1]

Where we are unconvinced / missing info:

- L2Beat notes (Oct 8, 2025) that circuits' source code was not publicly available; unclear if now fully open-sourced and reproducible. [Unknown]
- Centralized operator model remains; no clear roadmap for sequencer/prover decentralization in primary docs. [Unknown][Inference]
- Oracle pipeline uses a combination of feeds (Stork primary and now Chainlink Data Streams for RWA), but L2Beat says external signatures are not yet verified on-chain. [Fact – T1][Unknown]

Tech breakpoints:

- Timely, transparent release of circuits and infra code; evidence of reproducible proving / sequencing pipeline. [Inference]
- Robustness of oracle stack during extreme moves and cross-venue dislocations. [Inference]

Pillar 3 – Tokenomics & Incentive Alignment (12 / 20)

What is going well (facts):

- No live protocol token yet; users earn Lighter Points via trading, liquidity provision, referrals; Season 2 runs until end of 2025. [Fact – T1]

• Market and community consensus strongly expects a TGE where points will map to token airdrop, though details are not official. [Fact – T2][Unverified]

• Revenue today: funding payments, liquidation fees to LLP, and institutional / API trading fees, with zero standard trading fees for retail UI users. [Fact – T1][Fact – T2]

Where we are unconvinced / missing info:

• No public LIGHT token supply, allocation, vesting schedule, or revenue-sharing commitment to token or LLP liquidity providers. [Unknown]

• Unclear how long zero-fee regime is sustainable without distorting flow or requiring aggressive token emissions later. [Inference][Unknown]

• Points distribution (250k per week) is documented, but long-term dilution and share of total token supply are unknown. [Fact – T1][Unknown]

Tokenomics breakpoints:

• Token design that robustly links protocol revenue and governance to token/LLP holders without over-incentivizing wash trading. [Inference]

• Clarity on whether LLP and token holders absorb tail losses, and in what order, during extreme events. [Unknown]

Pillar 4 – Market Positioning & Narrative Strength (18 / 20)

What is going well (facts):

• Category: perp DEX + app-specific Ethereum zk rollup, competing directly with Hyperliquid and Aster for derivatives volume. [Fact – T1]

• DeFiLlama and CoinDesk highlight Lighter with ~ $300b 30d perps and ≈$1.2b TVL, placing it among top perp DEXs by flow and OI. [Fact – T1][Estimate]

• Strong narrative allies: Chainlink partnership (RWA perps), major VC backing, plus coverage in Blockworks, Datawallet, AtomicWallet and others. [Fact – T1][Fact – T2]

• Zero-fee retail and high-performance API / premium tiers resonate with HFT / arb traders; points campaign stokes reflexive attention. [Fact – T2][Inference]

Where we are unconvinced / missing info:

• Stickiness of volume once points incentives and "airdrop season" abate is unproven; Hyperliquid still leads in OI per multiple sources. [Fact – T1][Inference]

• Less clarity on regional / regulatory strategy vs larger competitors (dYdX, Binance perps, etc.). [Unknown][Inference]

Market / narrative breakpoints:

• Post-TGE retention of OI, fees, and LLP TVL after incentives normalize. [Inference]

• Competitive responses from Hyperliquid, Aevo, dYdX, GMX and CEX perps; cross-listings of key perp markets. [Inference]

Pillar 5 – Risk Management & Governance (13 / 20)

What is going well (facts):

• Ethereum-settled rollup with fully on-chain DA, forced L1 ops, desert mode, and LLP insurance fund mitigating some custody and liquidation risk. [Fact – T1]

• L2Beat risk summary is explicit: funds can be stolen if malicious code upgrade occurs; exit paths exist through forced exits + desert mode if sequencer misbehaves. [Fact – T1]

• Governance: "network governor" initiates upgrades with 21d delay; "security council" 3-of-5 multisig can reduce upgrade delay to zero in emergencies. [Fact – T1]

• Oracle risk acknowledged; Chainlink Data Streams integration aims to improve RWA index pricing; Stork still primary for crypto markets per L2Beat docs. [Fact – T1][Fact – T2]

Where we are unconvinced / missing info:

• No exit window for regular upgrades (contracts instantly upgradable), representing critical upgrade risk if governance is compromised. [Fact – T1][Risk]

• Centralized operator can extract MEV via front-running; although docs claim fairness, independent empirical MEV audits are not yet public. [Fact – T1][Unknown]

• Oracle signatures not fully verified on-chain; sequencer honesty still required for correct price feeds in some scenarios. [Fact – T1][Risk]

• Incident history includes 4.5h downtime and at least one high-profile HYPE price spike incident; although compensated, these highlight operational risk. [Fact – T1][Fact – T2]

Risk / governance breakpoints:

• Strength and transparency of multisig signers, including possible transition to more decentralized or staked-based governance. [Unknown][Inference]

• Hardening oracle design (on-chain signature verification, robust fallback logic, circuit-level constraints) to reduce trust in centralized operator. [Inference]

1) TEAM & EXECUTION – EVIDENCE SNAPSHOT

1.1 Snapshot

• Founder: Vladimir Novakovski, former prodigy programmer, Harvard graduate (entered at 16), joined Citadel as a quantitative engineer at 18. [Fact – T1]

• Prior startup: co-founder & CEO of Lunchclub (AI networking / intros platform), plus previous roles in AI / ML-focused projects. [Fact – T2]

• Founding story: pivot from AI back into crypto / trading post-2022 as he assessed AI competition and saw an opportunity in provably fair perps. [Fact – T1][T2]

1.2 Hard Credentials & Backers

• High-grade investor syndicate: Founders Fund, Ribbit Capital, Haun Ventures, Craft Ventures, Robinhood, others; total ≈$90m raised and latest valuation ≈$1.5b. [Fact – T1]

• Robinhood's investment highlighted as "rare bet" in media, emphasizing alignment between centralized trading giant and Lighter's vision for on-chain perps. [Fact – T1]

1.3 Execution Track Record

• Private beta (≈8 months) reached ~188k unique accounts and ~50k daily activities; used to tune sequencer, circuits, and LLP parameters before public launch. [Fact – T1]

• Public mainnet launched Oct 2, 2025; quickly climbed perp volume leaderboards and integrated points Season 2 at launch. [Fact – T1][Fact – T2]

• Operational stress test: Oct 10 flash crash caused DB growth issues and 4.5h downtime; system remained solvent; outage occurred after volatility period per founder; compensated users via 250k points. [Fact – T1][Fact – T2]

1.4 Org Structure & Culture (partial)

• Partial org chart publicly visible (CEO + leads in architecture, BD, ops/finance/compliance). [Fact – T2]

• Cultural signal: heavy emphasis on performance engineering, fairness guarantees, and "provable" trading; founder interviews stress fairness and safety over raw risk-taking. [Fact – T2][Inference]

1.5 Team Unknowns / Open Items

• Exact size of core engineering, security, and quant teams not fully disclosed. [Unknown]

• Compensation alignment (equity vs token vs revenue share) and potential future conflicts between equity investors and token holders remain unspecified. [Unknown][Inference]

2) TECHNOLOGY, SECURITY & AUDITABILITY

2.1 Architecture Snapshot

• App-chain design: Lighter is an application-specific zk rollup on Ethereum; purpose-built for perps with CLOB-style order matching, funding and risk checks encoded in custom circuits. [Fact – T1]

• Sequencer: Centralized sequencer receives orders, applies price-time priority, constructs state diffs, then submits batches and zk proofs to L1. [Fact – T1]

• Validity proofs: SNARKs ensure state correctness (matching, PnL, margin, liquidations) before Ethereum contracts update the canonical state root. Trusted setup is required. [Fact – T1]

• Data availability: All state diffs required to reconstruct account tree and prove balances / positions are posted in Ethereum blobs. [Fact – T1]

2.2 Oracle & Dependency Map

• Crypto markets: Lighter uses a combination of oracles, with Stork identified as primary price source; L2Beat notes that external signatures are not yet verified on-chain, requiring trust in sequencer to report accurately. [Fact – T1]

• RWA markets (commodities, FX, equities): Chainlink Data Streams adopted as official oracle solution, powering RWA perp markets with high-frequency pricing. [Fact – T1]

• Oracle risk: Funds can be lost if oracle prices are manipulated or misreported; L2Beat explicitly flags this as a key risk dimension. [Fact – T1]

2.3 Liveness vs Safety

• Forced transactions: Users can force deposits, withdrawals, order placement/cancel, and burning LLP shares via L1 if sequencer censors or stalls. [Fact – T1]

• Desert mode: If forced transactions are not processed within 14 days, protocol can freeze and allow desert-mode exits using reconstructed L1 data plus proofs of balances. [Fact – T1]

• Liveness track record: L2Beat shows no ongoing anomalies but logs the Oct 10, 2025 incident; DB growth caused ~4.5h downtime; system has since been upgraded. [Fact – T1]

2.4 Liquidations, LLP & Insurance Mechanics

• LLP role: LLP acts as insurance fund and liquidity backstop; collects funding fees and liquidation fees (≤1%) when liquidations execute at prices better than zero price; aims for smoother deleveraging. [Fact – T1][Fact – T2]

• Margin tiers: Three levels of margin requirements; escalate actions from risk notifications to partial liquidation, then full liquidation if breached. [Fact – T1]

• Outcomes vs peers: External analyses argue Lighter tends to liquidate more gradually than some venues, trading off more liquidation fees for reduced price impact. [Fact – T2][Inference]

2.5 Audit Coverage & Gaps

• ZKSecurity circuits audit (Jan 2024): Formal review of zkLighter circuits; scoped to private repo; issues remediated per report. [Fact – T1]

• Additional audits: Docs and aggregators cite audits by Nethermind and others covering smart contracts and rollup logic, but consolidated public disclosure remains thin. [Fact – T1][Fact – T2]

• Gap: L2Beat notes circuits code was not public as of Oct 8, 2025, limiting third-party verification; promised open-sourcing "in 1–2 weeks" but no explicit confirmation located. [Fact – T1][Unknown]

2.6 Technical Unknowns / Non-obvious Risks

• Degree of determinism between off-chain matching engine and on-chain proofs for every edge-case (eg. deeply illiquid tails, cross-venue dislocations). [Unknown][Inference]

• Resilience of prover and sequencer infrastructure under prolonged high volatility across many markets; risk of correlated DB / infra issues reoccurring. [Inference]

• Clarity on MEV protections beyond fairness claims; whether additional encryption or commit-reveal patterns are employed is not fully documented. [Unknown][Inference]

3) TOKENOMICS, INCENTIVES & LIQUIDITY

3.1 Current Token Status

• No live protocol token yet: Multiple sources note Lighter currently operates via points, not a live token; TGE is anticipated but not executed. [Fact – T1]

• Community expectations: Explainers and airdrop guides describe Lighter Points as likely basis for future $LIGHT token distribution but emphasize that conversion terms are not officially announced. [Fact – T2][Unverified]

3.2 Points Program & User Incentives

• Season 1: Ran through private beta; concluded Sept 30, 2025. [Fact – T1]

• Season 2: Runs through end of 2025, distributing 250,000 points weekly; points earned via "organic trading strategies" and LPing; sybil and self-trading explicitly excluded. [Fact – T1]

• Narrative reflexivity: Points farming plus speculation about TGE has driven heavy trading volume and external commentary on "how much a point is worth." [Fact – T2][Inference]

3.3 Revenue Sources & Fee Flows

• Zero trading fees for retail UI: Retail traders pay no maker / taker fees at front-end, while API / high-frequency flow is charged. [Fact – T1]

• LLP economics: LLP accrues liquidation fees (≤1% of liquidation price improvement) and funding spreads; functions as protocol treasury / insurance fund. [Fact – T1][Fact – T2]

• Protocol-level revenue: DeFiLlama shows ≈$25.7m in fees/revenue over last 30 days and ≈$30.9m cumulative, with annualized revenue ≈$313m based on recent pace. [Fact – T1][Estimate]

3.4 Liquidity & Risk-Bearing Structure

• TVL & OI: ≈$1.23b TVL (almost entirely on Ethereum), ≈$1.7b OI, ≈$298b 30d perps as of late Nov 2025. [Fact – T1][Estimate]

• LLP as risk buffer: LLP is positioned to absorb negative PnL and liquidation shortfalls; details on extreme-tail loss handling vs treasury vs future token holders remain limited. [Fact – T1][Unknown]

3.5 Tokenomics Unknowns / Red Flags

• No official whitepaper or blog post yet specifying LIGHT supply, vesting, governance powers, or revenue-share to token / LLP. [Unknown]

- Proliferation of off-protocol "Lighter" / "LIGHTER" tokens on Solana and other chains (e.g. memecoins) can confuse users; no clear official endorsement. [Fact – T2][Risk]

4) MARKET POSITIONING & NARRATIVE

4.1 Category & Competitor Set

- Category: Perp DEX + zk rollup appchain on Ethereum; cross-compared with Hyperliquid (own L1), Aster (BNB-based), Aevo, dYdX, GMX, Vertex. [Fact – T1][Inference]
- Differentiator vs Hyperliquid / Aster: Ethereum settlement + zk proofs for matching and liquidations; exit guarantees and fairness narrative emphasize Ethereum trust vs validator-set trust. [Fact – T1][Inference]

4.2 Traction & Metrics

- Volumes: DefiLlama reports ≈$298b 30d perps, ≈$9.9b 24h perps, cumulative ≈$1.1t perps; CoinDesk quotes similar ~ $279.5b 30d volume. [Fact – T1][Estimate]
- TVL & OI: ~ $1.23b TVL and ≈$1.7b OI, concentrated on Ethereum. [Fact – T1][Estimate]
- Listings: CoinGecko lists Lighter as a decentralized perp exchange with dozens of pairs, including BTC, ETH, SOL, RWA pairs like FX and gold. [Fact – T1]

4.3 Narrative Loops & Reflexivity

- VC + Robinhood halo effect: High-profile backers, plus media framing of founder as "billion-dollar founder who started trading at 9," fuel strong narrative. [Fact – T1][T2]
- Chainlink partnership & RWA perps: SmartCon recap and ecosystem pages present Lighter as flagship use case for real-time RWA data, expanding beyond pure crypto perps. [Fact – T1][T2]
- Points speculation: Extensive content around "how much a Lighter point is worth" and airdrop guides; encourages heavy trading and liquidity provision. [Fact – T2][Inference]

4.4 Misclassifications & Noise

- Some aggregators label Lighter as "built on Arbitrum," contradicting official docs and L2Beat which clearly place it as an Ethereum rollup. [Fact – T2][Contradiction]
- Off-protocol "Lighter" tokens on Solana and elsewhere can be misinterpreted as official token; potential for retail confusion and scams. [Fact – T2][Risk]

5) RISK MANAGEMENT & GOVERNANCE

5.1 Governance Structure & Permissions

- Rollup stage: Lighter is Stage 0 Appchain per L2Beat: early maturity, centralized operator, largely upgradeable contracts. [Fact – T1]
- Network governor & security council: Network governor initiates upgrades with 21d delay; 3/5 security council multisig 0x92b1…2045 can reduce delay to zero in emergencies. [Fact – T1]

• EOA powers: EOA 0xfDb3…4A41 can upgrade Lighter, Governance, and Verifier via UpgradeGatekeeper, and manage validators and addresses controlling insurance fund and treasury. [Fact – T1]

5.2 Upgrade & Custody Risk

• Instant upgrades: No exit window for regular upgrades; funds can be stolen if a malicious upgrade is executed by governance / security council. L2Beat labels this as critical. [Fact – T1][Risk]

• Centralized operator: Single operator can front-run and reorder transactions; while fairness is claimed, no on-chain mechanism fully prevents MEV by operator today. [Fact – T1][Risk]

• Mitigations: Forced L1 ops + desert-mode exit reduce censorship and custodial risk, but do not fully eliminate upgrade or oracle risk. [Fact – T1][Inference]

5.3 Historical Incidents

• Downtime (Oct 10, 2025): 4.5 hours due to DB growth issues; occurred after volatility; system remained solvent; L2Beat records incident and X references are linked. [Fact – T1][T2]

• HYPE price spike: HYPE token spiked to ~$98 on Lighter before mean-reverting; Lighter team attributed it to bot-driven activity; critics raised concerns about oracle handling and circuit behavior. [Fact – T2]

5.4 Security Model Unknowns

• Transparency around security council members and their key management practices is limited to addresses; no formal signers' bios. [Unknown][Inference]

• Detailed coverage of latest deployed contracts (after mainnet launch) in audits is not fully clear; zkSecurity audit predates public mainnet. [Unknown][Risk]

CONTRADICTION LOG

Chain / Stack:

- **Claim A** – Lighter is an Ethereum-based zk rollup / appchain. [Fact – T1]
- **Claim B** – Some aggregators describe Lighter as "built on Arbitrum." [Fact – T2]
- **Assessment:** Treat Ethereum rollup as canonical; Arbitrum claim likely outdated or incorrect metadata. [Inference]

Token Status:

- **Claim A** – There is no live token; Lighter Points only; TGE upcoming but not executed. [Fact – T1]
- **Claim B** – Bitget and others discuss "LIGHT" as a token powering ecosystem, yet also admit no listing and no official contract yet. [Fact – T2]
- **Assessment:** Treat all LIGHT token details as speculative until official docs / contracts appear; focus on points as primary incentive today. [Inference]

Oracle & Liquidations:

- **Claim A** – L2Beat flags external signatures not verified; risk from manipulated oracle prices. [Fact – T1]
- **Claim B** – External commentary says Lighter is "gentler" on liquidations than peers, implying robust liquidation system. [Fact – T2]
- **Assessment:** Mechanically, LLP & margin design may reduce price impact, but oracle & upgrade risk still significant. [Inference]

VERDICT (NON-BINDING, NOT INVESTMENT ADVICE)

- **Short view:** High-caliber founder + strong VC / partner validation + rapid traction on Ethereum make Lighter a serious contender to Hyperliquid and other perp DEXs. [Inference]
- **Core reservations:** Stage 0 governance, instant upgrade risk, partially opaque oracle pipeline, and fully undefined tokenomics / revenue-sharing keep structural risk elevated. [Inference]
- **Overall stance:** Attractive as an infrastructure / DeFi innovation case study and potential future core infra exposure, but only after token/governance clarification and further decentralization. [Inference]

Evidence-linked Sizing Logic (Hypothetical Framework, Not a Recommendation)

- **Base assumption:** High idiosyncratic risk; strong upside optionality; governance and tokenomics not yet de-risked. [Inference]
- **Hypothetical risk budget:** If participating, keep exposure small within an overall "perps infra / appchain" bucket, sized lower than more mature venues (e.g., dYdX, GMX) until Stage >0 and token clarity. [Inference]
- **Upsizing triggers:** Transparent LIGHT token launch with credible supply/vesting, clear revenue share to token/LLP, and improvement of upgrade and oracle risks (eg. longer timelocks, decentralized oracle verification). [Inference]

UPSIDE CASE (HIGH-LEVEL)

- Lighter consolidates position as top Ethereum-based perp DEX by volume, OI, and revenue; Hyperliquid, Aevo, others either stagnate or fail to match its security/fairness narrative. [Inference]
- Successful LIGHT token launch tightly links protocol revenue and governance to token and LLP holders, sustaining incentives without degenerate emissions. [Inference]
- Sequencer/prover decentralization progresses; Stage rating improves on L2Beat; oracle stack hardened with fully verified Chainlink Data Streams and fallback feeds. [Inference]
- RWA perp markets (equities, FX, commodities) become meaningful; Lighter captures cross-asset traders migrating from CEX perps as regulatory clarity emerges. [Inference]

RISK CASE / WHAT BREAKS THE THESIS

- Governance or contract compromise (security council / governor keys) used to push malicious upgrade without exit window, endangering user funds. [Inference][Risk]
- Oracle failure or manipulations during extreme moves cause wrong liquidations; LLP is insufficient, causing losses and reputational damage. [Inference][Risk]
- Post-TGE, tokenomics over-incentivize mercenary farming, causing unsustainable emissions and long-term fee dilution. [Inference]
- Larger or more regulated players (e.g., dYdX v5, centralized perps) compete aggressively on latency, fees, and RWA coverage, eroding Lighter's edge. [Inference]

WHAT TO WATCH NEXT

- **Token & governance:** Official LIGHT token announcement, including supply, vesting, governance rights, and relationship to LLP and fees. [Unknown]
- **Code transparency:** Public release of circuits and core off-chain components; additional audits covering mainnet code; any L2Beat stage upgrade. [Unknown][Inference]
- **Oracle hardening:** On-chain verification of external signatures, expansion of Chainlink Data Streams beyond RWA perps, and additional oracle diversification. [Inference]
- **Post-incentive retention:** Trajectory of TVL, perp volumes, OI, and fee revenue after Season 2 points end and after TGE. [Inference]
- **Operational incidents:** Any new downtime, liquidation anomalies, or cross-venue pricing issues; depth and transparency of resulting post-mortems. [Inference]